

Meta Platforms, Inc.

META NASDAQ

Buy	\$743.19 ▲ 0.17%	12M Price Target \$820.00	52-Week Range \$520.26 – \$779.82	Market Cap \$1.89T
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META: Grinding Toward Highs as AI Capex Pays Off

WHAT HAPPENED

- Quiet tape — stock drifted up 0.17% on light volume (6.7M shares vs usual ~15M), which usually means nobody's panicking and nobody's chasing. META is now at 86% of its 52-week range, basically knocking on all-time highs, and that's happening WITHOUT news. That's a tell: when a stock grinds higher on no news, it's often institutions quietly accumulating ahead of a catalyst (Q3 earnings late October).
- Options flow is screaming bullish — put/call ratio of 0.52 (meaning twice as many bullish bets as bearish), and we're seeing unusual call buying at \$740, \$745 strikes expiring this month. Someone's betting on a near-term pop.

WHY IT MATTERS

Here's what I think is really going on: META is being re-rated as an "AI winner that also prints cash," which is a rare combo. The massive capex spend (\$70B+ this year on data centers and Nvidia chips) that scared people 12 months ago is now being seen as the moat. Meanwhile, the political backdrop has quietly flipped in Meta's favor — the Trump administration's AI executive orders have deprioritized the "break up Big Tech" narrative in favor of "let US champions beat China," and that's a massive sentiment tailwind. The COO selling ~\$875K is noise (routine 10b5-1 plan selling, not a red flag at this scale for a company doing \$150B+ in annual sales), but the cluster-selling pattern means don't expect insider buying to goose the stock — the fuel has to come from fundamentals.

POLICY & POLITICAL WATCH

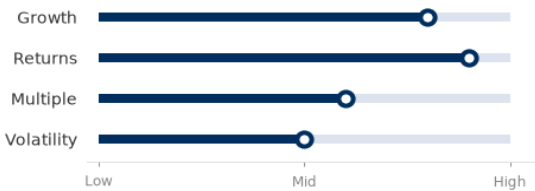
Two live wires to watch: (1) The FTC's antitrust case trying to force Meta to divest Instagram and WhatsApp is still winding through appeals — a loss would be devastating, but the political winds have shifted and most Street analysts now assign <25% probability. (2) Section 230 reform (the law that protects platforms from being sued over user content) keeps getting debated in Congress but keeps dying — if that changes, Meta's legal exposure balloons. The bigger near-term tailwind is the federal AI infrastructure push: executive orders fast-tracking data center permitting and power grid access directly benefit Meta's buildout, and any formal AI "Manhattan Project"-style initiative likely includes Meta's Llama models as a preferred open-source stack.

IS IT EXPENSIVE?

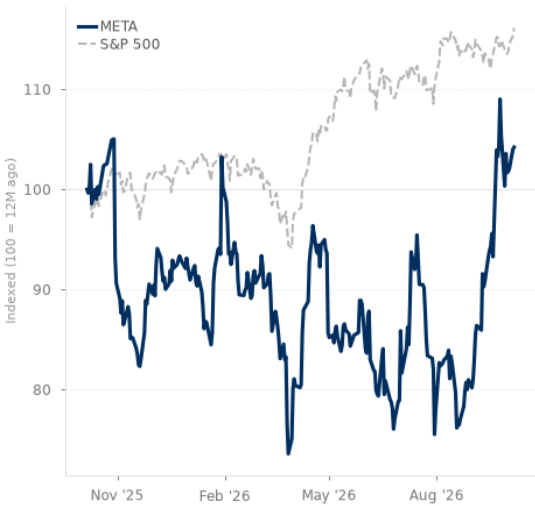
Key Data

Price (USD)	\$743.19
12M Price Target	\$820.00
Upside / (Downside)	+10.3%
Market Cap	\$1.89T
FY2026E Revenue	\$198M
FY2027E Revenue	\$228M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	27.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$785.00	\$755.00	\$700.00
6 Months	\$850.00	\$790.00	\$670.00
1 Year	\$920.00	\$820.00	\$640.00
2 Years	\$1100.00	\$900.00	\$600.00
5 Years	\$1600.00	\$1200.00	\$550.00
10 Years	\$2500.00	\$1700.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Utilities (+2.24% today, +2.91% week) — this is the AI power trade. Data centers need insane amounts of electricity and investors are finally pricing that in. Energy (+3.9% week) riding the same theme plus geopolitical risk premium.

COOLING OFF: Tech isn't on the leaderboard today, which actually tells you something — money is rotating from the obvious AI names into the "picks and shovels" (power, grid, cooling). That's a late-cycle AI trade signal.

ROTATION WATCH: Capital is flowing from mega-cap tech INTO AI infrastructure enablers (utilities, industrials). META held up fine today despite this rotation — that's actually bullish, it means Meta is being treated as a "must-own" rather than a trade.

RELATED PLAY: If you believe the Meta AI thesis, the second-order winners are the utilities powering their data centers (VST, CEG) and the networking/cooling plays (VRT, ANET). Those have run hard but still have legs if hyperscaler capex holds.

WHO'S WINNING IN THIS SPACE?

- VRT (Vertiv Holdings): data center cooling — direct beneficiary of Meta's \$70B capex spree
- CEG (Constellation Energy): nuclear power for hyperscalers, signed major deals with Big Tech this year

META CONTEXT: Meta is near 52-week highs but not leading the tape today — it's grinding, not sprinting. That's actually the healthiest kind of price action: it means the stock has already been re-rated higher and is now consolidating gains before (likely) the next leg up on earnings. Lagging the daily movers is fine when you're already up 40%+ YTD.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$715-725 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth slips below 10% YoY or FTC wins antitrust appeal forcing Instagram divestiture

Hedging: Small put spread or pair against GOOGL if you want sector-neutral exposure